

SUBJECT PROPERTY | EXTERIOR STREETVIEW

VERDICT: DO NOT BUY (HOLD) / DO NOT BUY (FLIP) | INVESTMENT SCORE: 0/100

PROPERTY & VALUATION SNAPSHOT

Property Details	Data
Property Type	Multi-Family (3-Unit)
Beds	5
Baths	3
Year Built	1911

Valuation Metric	Estimated Value
Asking Price	$850,000
Recommended MAO	$310,000
Est. FMV	$322,040 - $341,960
Est. ARV	$824,500 - $875,500
Est. Renovation Budget	$337,560 - $358,440

EXECUTIVE SUMMARY

Risk Level: High | The property operates at a severe deficit with an As-Is Gross Rent of $75,600 and requires a $348,000 renovation budget that results in over $250,000 in equity destruction. Compliance Grade: Fail | The asset fails to cover its debt obligations with a stabilized DSCR of 0.97 and a stabilized Cash-on-Cash return of (0.24%), generating a stabilized cash bleed of ($117) per month.

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FINANCIAL SYNTHESIS & STRATEGY COMPARISON

The financial thesis for 241 Osborne Terrace reveals a catastrophic misalignment between the asking price and the asset's income-producing potential. At an entry price of $850,000, the property operates at a severe deficit. After injecting a $348,000 unified CapEx budget to stabilize the asset, the Net Operating Income is capped at $44,460. This results in a stabilized Cap Rate of 3.71%, which creates severe negative leverage against the 6.00% interest rate debt cost. Consequently, the stabilized Debt Service Coverage Ratio fails at 0.97, meaning the property cannot cover its own debt obligations, and generates a negative Cash-on-Cash return of (0.24%). The seller is attempting to price a distressed, value-add asset at a fully stabilized premium, effectively forcing the buyer to pay for the renovation twice.

STRATEGY A: BUY & HOLD (LONG-TERM)

UNDERWRITING ASSUMPTIONS

Underwriting Assumption	Value
Purchase Price	$850,000
Down Payment %	25%
Interest Rate	6.00%
Amortization Period	30 Years
Expense Ratio	50%

OPERATING PRO-FORMA

Line Item	Current (As-Is)	Stabilized
Gross Rent	$75,600	$93,600
Vacancy Loss	$3,780	$4,680
EGI	$71,820	$88,920
Operating Expenses	$35,910	$44,460
NOI	$35,910	$44,460
Debt Service	$45,866	$45,866
Monthly Cash Flow	($830)	($117)

YIELD & RETURN METRICS

Metric	Current (As-Is)	Stabilized
Cap Rate	4.22%	3.71%
Cash-on-Cash Return	(4.18%)	(0.24%)
DSCR	0.78	0.97

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STRATEGY B: FIX & FLIP (SHORT-TERM)

HARD MONEY TERMS

Hard Money Loan Structure	Value
Loan Amount	$1,113,000
Total Points	$22,260
Total Interest (6 mos)	$61,215

CAPITAL REQUIREMENTS

Capital & Exit Costs	Value
Holding Costs	$11,591
Acquisition/Closing Costs	$34,000
Exit Costs	$68,000
Acquisition Fee	$2,500
Total Deal Cost	$1,397,566

PROJECTED RETURNS

Projected Flip Margin	Value
Projected ARV	$850,000
Net Profit	($547,566)
Cash-on-Cash Return	(192.42%)
Forced Appreciation	($348,000)

FIX & FLIP SENSITIVITY MATRIX

Scenario	Purchase Price	Rehab Cost	ARV	Net Profit	CoC Return
Worst Case	$892,500	$382,800	$765,000	($710,457)	(245.49%)
Base Case	$850,000	$348,000	$850,000	($547,566)	(192.42%)
Best Case	$807,500	$313,200	$935,000	($384,675)	(137.52%)

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RENOVATION & CAPEX ANALYSIS

The property is currently suffering from a superficial landlord special cosmetic flip that masks severe underlying structural and environmental liabilities typical of a 1911 build. While the installation of LVP flooring and stainless steel appliances provides immediate visual appeal, critical defects are glaringly apparent. Most notably, Bathroom 2 features a window located directly inside the shower enclosure, guaranteeing hidden water intrusion and structural rot within the wall cavity. Furthermore, exposed wiring and extension cords strongly suggest the presence of obsolete knob-and-tube electrical systems requiring a full gut-rewire. The property features 5 bedrooms and 3 bathrooms distributed across 3 units. Because this is an odd bathroom count for a 3-unit dwelling, the exact plumbing layout requires physical verification rather than assuming an even split. The logical scope of work demands a comprehensive $348,000 modernization, including structural rot repair, environmental remediation for lead and asbestos, and a complete overhaul of the mechanical, electrical, and plumbing systems to achieve a stabilized state.

ITEMIZED CAPEX BUDGET

Category	Est. Cost	Priority
Exterior & Roof	$65,000	High
Interior Cosmetics & Layout	$115,000	High
Mechanicals (HVAC, Elec, Plumb)	$75,000	Critical
Environmental & Safety	$20,000	Critical
Permits & Soft Costs	$15,000	Medium
Contingency (20%)	$58,000	High

ESTIMATED CONSTRUCTION TIMELINE

Phase	Description	Est. Duration
Phase 1	Due Diligence, Environmental Testing, Architectural Plans & Permitting	6 Weeks
Phase 2	Demolition, Environmental Remediation & Structural Rot Repair	4 Weeks
Phase 3	Rough Mechanicals (Electrical Rewire, Plumbing Stacks, HVAC)	4 Weeks
Phase 4	Insulation, Drywall Installation, Plaster Repair & Stairwell Rebuild	3 Weeks
Phase 5	Interior Finishes (Kitchen Cabinets, Tile, Bathroom Fixtures, Paint)	5 Weeks
Phase 6	Exterior Work (Roof Replacement, Siding, Windows, Driveway Paving)	3 Weeks
Phase 7	Final Inspections, Punch List, Landscaping & Deep Cleaning	2 Weeks

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MARKET & ZONING INTELLIGENCE

Located in the South Ward of Newark near the desirable Weequahic border, the property benefits from a highly strategic urban location. The most significant value driver is its immediate proximity to Newark Beth Israel Medical Center, providing a recession-resistant demographic of traveling nurses and medical staff. Additionally, the neighborhood offers excellent walkability to Weequahic Park and dense transit connectivity, including the 107 Bus line which provides direct commuter service to Midtown Manhattan. However, these localized advantages are counterbalanced by an elevated crime rate of 23.6 per 1,000 residents and a cooling traditional rental market where median rents have stagnated at $2,100. Investors must implement robust security measures and target niche renter demographics, such as subsidized housing or mid-term medical rentals, to mitigate these macro-market risks.

ENVIRONMENTAL & LOCATIONAL FACTORS

Environmental Factor	Status / Impact
Nearest Transit	107 Bus Line (Direct to NYC)
Crime Rate Status	23.6 per 1,000 residents (Elevated)
Flood Zone	Zone X (Minimal Hazard)
Wetlands	None Observed
Contamination	Pre-1978 Lead/Asbestos Risk (High)

UNIT MIX & PROJECTED RENT ROLL

Unit Type	Count	Current Avg Rent	Pro-Forma Rent
Unit 1 (Layout Unverified)	1	$2,100	$2,600
Unit 2 (Layout Unverified)	1	$2,100	$2,600
Unit 3 (Layout Unverified)	1	$2,100	$2,600

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TAX ASSESSMENT & APPEAL STRATEGY

The property is currently over-assessed with a Subject Ratio of 68.77%, which significantly exceeds the municipality's Upper Limit of 46.33%. This makes the asset highly eligible for a Chapter 123 tax appeal in its As-Is state, potentially reducing the assessment to $133,763 and generating an estimated $3,595 in annual tax savings. However, investors must heed a critical strategic warning regarding future tax liabilities. The massive spread between the As-Is True Market Value of $332,000 and the projected After Repair Value of $850,000 indicates a heavy-lift renovation. Pulling municipal permits for this extensive scope of work will legally trigger an Added Assessment upon completion. Investors must underwrite their long-term stabilized operating expenses with a projected annual tax bill of approximately $13,024, rather than relying on the temporary appealed savings. Failure to account for this future tax hike will severely inflate projected Net Operating Income and destroy cash flow.

CHAPTER 123 TAX METRICS

Tax Assessment Metric	Value
Current Assessment	$228,300
Implied Market Value	$566,642
True Market Value	$332,000
Director Ratio	40.29%
Upper Limit	46.33%
Lower Limit	34.25%
Est. Tax Savings	$3,595
Projected Stabilized Taxes	$13,024

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IDENTIFIED CRITICAL RISKS

- Catastrophic overpayment risk due to the asking price matching the fully stabilized After Repair Value.
- Hidden structural rot in the exterior wall framing caused by a window located inside the shower enclosure.
- High probability of environmental hazards including lead-based paint and asbestos typical of 1911 construction.
- Severe data obfuscation in the listing, claiming an impossible 11,997 square foot building on a 3,484 square foot lot.
- Future Added Assessment tax liability that will drastically increase operating expenses upon completion of the renovation.

MITIGATION STRATEGIES

- Negotiate a Maximum Allowable Offer (MAO) of no more than $310,000 to ensure adequate equity spread for the required capital expenditures.

- Allocate a strict 20% contingency budget $58,000 specifically for structural rot repair and environmental remediation.

- Conduct comprehensive lead and asbestos testing during the due diligence period to quantify environmental remediation costs.

- Verify the actual gross living area and legal parking availability via municipal tax records and a professional appraisal before closing.

- Underwrite all stabilized pro-forma financials using the projected post-renovation tax assessment of $13,024 to ensure accurate Debt Service Coverage Ratios.

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DUE DILIGENCE: VERIFICATION MATRIX

The following matrix highlights critical structural, zoning, or environmental discrepancies between municipal public records and the marketed property details.

Data Point	Public Record	Listing Claim	Risk Level
Building Area / Lot Size	N/A	11,997 SF building on 3,484 SF lot	HIGH
Parking / Garages	2 Unattached Garages (2UG)	1 Parking Space	MODERATE
Exterior Material	Frame / Wood (F)	Aluminum Siding	LOW
Environmental (Age)	Built 1911	Built 1911	MODERATE/HIGH

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SALES COMPARABLES (RECENT CLOSINGS)

Address	Sale Price	SqFt	Beds	Baths	Sale Date
14 Patten Pl	$625,000	N/A	5	3	02/04/2026
12-14 Bock Ave	$730,000	N/A	7	3	12/15/2025
362 Chadwick Ave	$491,100	N/A	5	2	01/26/2026
373 Chadwick Ave	$850,000	N/A	N/A	N/A	04/17/2026
308 Chadwick Ave	$625,000	N/A	N/A	N/A	12/31/2025

RENTAL MARKET TRENDS

Rental Trend Metric	Value
Median Rent	$2,100
Available Rentals	363
Market Temp	COOL
Yearly Change	$0

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